

3.1.2 Resource allocation

Students look at the role of markets in allocating scarce resources. This leads into an exploration of the different economic sectors and concludes with a look at benefits and costs of specialisation, the division of labour and how this naturally leads to exchange.

3.1.2.1 Markets and allocation of resources

Content	Additional information
• Markets • Allocation of resources • Factor and product markets	Students should be able to understand: • a market is an opportunity for buyers and sellers to interact in order to establish price • the role of markets in allocating scarce resources • the difference between factor and product markets.

3.1.2.2 Economic sectors

Content	Additional information
• Primary, secondary and tertiary sectors • Goods and services	Students should be able to understand: • the meaning of primary, secondary and tertiary sectors and their relative sizes in the UK • the difference between a good and a service.

3.1.2.3 Specialisation, division of labour, and exchange

Content	Additional information
• The benefits of specialisation and division of labour and exchange • The costs of specialisation and division of labour and exchange	Students should be able to understand: • the meaning of specialisation and the division of labour • how and why individuals and producers specialise • the costs and benefits associated with the division of labour, both to the worker and the firm.